

Likewise, when it comes to investing, we learn about the magic of compounding and try to invest as much as possible. But then, current expenses often take out large portions of our salary to knock out investing plans.

From the 4-buckets, in-order to contribute more toward saving or investing – fixed costs or guilt free spend must come down. The easiest step is to say, *“I’ll reduce the guilt free spend – eating out, shopping.”* Since it’s the conventional option, we will look at this a little later. Right now, let’s dive into reducing fixed costs first.

Cutting down Fixed costs

Fixed costs primarily involve the damage triangle – food, rent and transport. Making small changes in-terms of moving into a smaller apartment or getting a roommate can reduce your rent by at least ₹ 1000 per month. This change means you’ve saved ₹ 12,000 over the year which can be a small vacation or contributions toward retirement based on your conscious-spending plan.

The reason we target fixed costs first is because, they are repetitive. If you make alterations to it once, you can feed off the nectar for a long time. This is in line with our 80-20 finance. Let’s do the 20% of work upfront: instead of focusing on a wide swath of cost-cutting areas, we’ll note down the big wins and work presciently. The fixed costs that are repetitive include

1. Internet, TV and phone bills
2. Rent
3. Food & Transport

1) Bills:

When Reliance Jio rolled out their plans of unlimited calling and bundled data, I had several friends who were over the moon. And it was not because of Jio’s 4-month introductory free offers. Rather, it was because they genuinely had a plan that would save them money. These guys were on the phone for a lot of their work and had bills from other service providers amounting to ₹ 1100-1200 per month. The plans Jio rolled out for 900, meant they could use internet without worrying about data, make unlimited calls and still be able to save 200 per-month. The 200 amounted to 2.4k every year for doing 30 minutes’ work upfront. The lesson here is not to